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AGENDA**

EBS/11/118

July 18, 2011

To: Members of the Executive Board

From: The Secretary

Subject: **Republic of Congo—Fifth and Sixth Reviews Under the Three-Year Arrangement Under the Extended Credit Facility and Financing Assurances Review**

Attached for consideration by the Executive Directors is a paper on the fifth and sixth reviews under the three-year arrangement under the Extended Credit Facility and the financing assurances review for the Republic of Congo, which is tentatively scheduled for discussion on **Wednesday, July 27, 2011**. A draft decision appears on pages 14–15. Unless an objection from the authorities of the Republic of Congo is received prior to the conclusion of the Board's consideration, the document will be published. Any requests for modifications for publication are expected to be received two days before the Board concludes its consideration.

Questions may be referred to Ms. Baker (ext. 34041) and Ms. Tartari Schwegler (ext. 35856) in AFR.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Tuesday, July 26, 2011; and to the African Development Bank and the European Commission, following its consideration by the Executive Board.

This document, together with a supplement providing an informational annex, will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities. The supplement, which is not being distributed in hard copy, will also be available in the Institutional Repository; a link can be found in the daily list (<http://www-int.imf.org/depts/sec/services/eb/dailydocumentsfull.htm>) for the issuance date shown above.

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INTERNATIONAL MONETARY FUND

REPUBLIC OF CONGO

Fifth and Sixth Reviews Under the Three-Year Arrangement Under the Extended Credit Facility and Financing Assurances Review

Prepared by the African Department
(in consultation with other departments)

Approved by Domenico Fanizza and Dhaneshwar Ghura

July 15, 2011

- **Discussions were held in Brazzaville on March 22–30 and May 31–June 6, 2011.** The mission met with President Sassou N’Guesso, State Minister Moussa (Planning), Finance Minister Ondongo, National Director of the BEAC Ondaye, other senior government officials, and representatives of the diplomatic and donor community, the private sector, and the media. The mission comprised Ms. Baker (head), Mr. Mpatswe, Ms. Tartari and Mr. Omar (all AFR), Mr. Acosta Ormaechea (FAD), and Ms. Rice and Mr. Ahouanmenou (all BLS) and was assisted by Mr. Melhado, resident representative. It was joined in March by Mr. Ondo Bile (OED).
- **The ECF arrangement in the amount of SDR 8.46 million (10 percent of quota) was approved by the Executive Board on December 8, 2008.** The arrangement is designed to achieve balanced growth, low and stable inflation and fiscal and external stability. The fourth review was completed in January 2011. The fifth review was delayed pending clarification of financing flows, including foreign deposits.
- **Program implementation through end-December 2010 and end-March 2011 has been satisfactory,** and the authorities observed all continuous, end-December and end-March quantitative performance criteria. The authorities also observed the two structural benchmarks related to oil governance, but fell short of the 80-percent target on procurement of public contracts through competitive bidding at both test dates due to early implementation difficulties at line ministries and the need to regularize previously signed contracts by bringing them under the new code. However, by end-May the authorities had achieved a rate of about 90 percent.
- In the attached supplemental Letter of Intent (LOI), the authorities request completion of the fifth and sixth reviews under the ECF arrangement and have agreed to the publication of the LOI and this staff report. Upon completion of the sixth and final review, the program will expire.
- Congo is a member of the Central African Economic and Monetary Community (CEMAC) and its regional central bank (BEAC). The common currency, the CFA franc, is pegged to the euro at CFAF 656. CEMAC member countries accepted the obligations of Article VIII in 1996. Congo maintains an exchange system free of restrictions on the making of payments and transfers for current international transactions.

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EXECUTIVE SUMMARY

Recent Economic Developments and Prospects

- Macroeconomic performance strengthened in 2010, mostly due to domestic factors, and has remained strong. There are signs that non-oil activity (construction, telecoms and forestry) continues to rise, while inflation has ticked up in line with global developments.
- The external position improved markedly in 2010. Bouncing oil prices shifted the current account into surplus, while debt relief following the HIPC Completion Point (January 2010) reduced external liabilities sharply. Gross official foreign assets rose to 44 percent of GDP at end-2010 and net debt is small at 3½ percent of GDP.

Program Performance at end-December 2010 and end-March 2011

- The authorities observed all continuous, end-December 2010 and end-March 2011 quantitative performance criteria. The cumulative adjustment of the basic non-oil primary deficit (BNOPD) over the first two years of the program was equivalent to the envisioned adjustment over the course of the full three-year ECF supported arrangement. The lower accumulation of government deposits in the regional central bank (BEAC) through March 2011 is explained mostly by higher foreign deposits, which are now being repatriated.
- The authorities observed the two structural benchmarks aimed at improving oil governance, while in the area of public financial management, the benchmark was met with delay. Despite significant progress in applying the new procurement code, they fell short of the targeted percentage (competitive bidding on 80 percent of contracts above \$500,000) on both test dates because of early implementation difficulties at the ministerial level and the need to regularize previously signed contracts by placing them under the new code. However, by end-May the authorities had achieved a rate of about 90 percent.

Policies in the Period Ahead

- Fiscal policy in 2011 focuses on scaling up investment spending on infrastructure, while continuing to save a sizable share of oil revenue. Measures are also in train to increase investment efficiency by strengthening public financial management. An advisor is in place to assist with project identification and assessment for the 2012 budget, and work is underway to further strengthen the expenditure chain.
- A fiscal reform program for 2011–13 aims to improve the design of Congo's tax system and strengthen fiscal institutions, while raising revenue collection. The authorities have already taken initial measures to unify tax rates and simplify the tax regime; are producing a tax expenditure document; and are working to strengthen capacity and reduce tax evasion. They are also gearing up to implement the action plan to improve the business climate. However, the uphill battle for more sweeping reforms continues, mostly due to vested interests.

Staff recommends completion of the fifth and sixth reviews under the ECF arrangement and disbursement of the sixth and seventh loans, in an amount equivalent to SDR 1,208,570 and SDR 1,208,580, respectively.

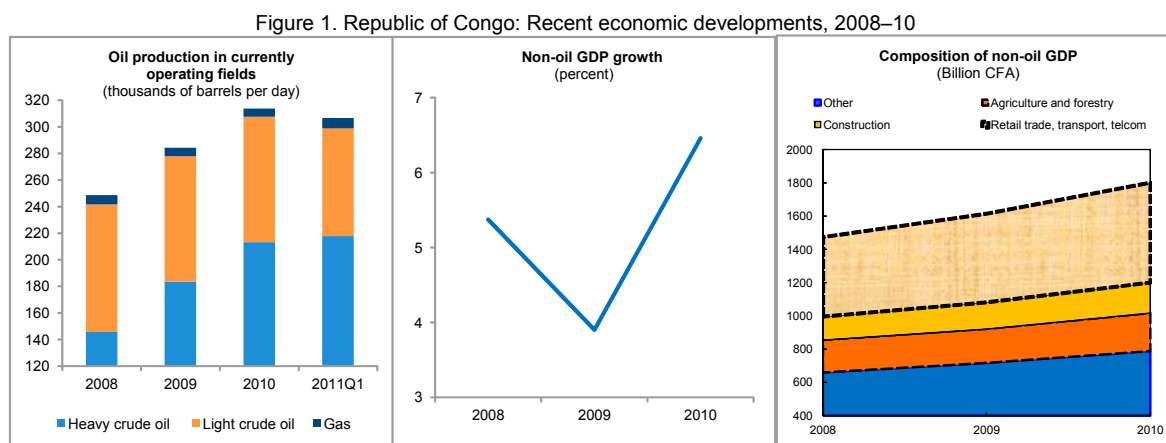
I. INTRODUCTION

1. **In 2011 the authorities plan to scale up public investment to address longstanding development needs, while continuing to save a significant share of oil revenue.** With oil production in mature fields expected to decline following its peak next year, policies aim to raise non-oil growth and reduce poverty through building a foundation of basic infrastructure and developing a business-friendly environment.

2. **The authorities are confident that the policy framework laid out in their Memorandum of Economic and Financial Policies (MEFP, December 20, 2010) remains relevant, achievable and consistent with their policy objective of balancing development needs and fiscal sustainability.** They are implementing action plans to strengthen public investment quality and the business climate, and taking measures to boost non-oil revenue while restraining current spending.

II. DEVELOPMENTS, PROGRAM PERFORMANCE AND OUTLOOK

3. **Macroeconomic performance strengthened in 2010**, largely as a result of domestic factors. Both oil production and non-oil activity (construction, telecoms, forestry) rose (Figure 1). Inflation ticked up in line with global developments, mitigated by positive supply shocks to agriculture and fixed domestic fuel prices. There are signs that activity in the non-oil sector continued to accelerate in the first quarter of 2011, while oil production declined by about 7 percent because of unscheduled stoppages.



4. **The external position further strengthened in 2010.** The bounce in oil prices shifted the current account into surplus, while debt relief following the HIPC Completion Point (January 2010) reduced external liabilities significantly. Gross official foreign assets climbed. At end-2010 net debt dropped to 3½ percent of GDP (Figure 2).

The figure consists of three panels illustrating the impact of the oil price shock on the current account, oil exports, and foreign assets/debt.

Current account and oil prices: This panel shows the current account balance to GDP (blue bars, left axis) and the international price of oil in US\$ per barrel (black line, right axis) from 2008 to 2010. The current account balance to GDP was approximately 1.5% in 2008, fell to about -7.5% in 2009, and recovered to about 5.5% in 2010. The international price of oil peaked at about \$140 in 2008, fell to about \$70 in 2009, and recovered to about \$100 in 2010.

Year	Current account balance to GDP (%)	International price of oil in US\$ per barrel (right scale)
2008	1.5	140
2009	-7.5	70
2010	5.5	100

Value of oil exports (US\$ millions): This panel shows the value of oil exports in US\$ millions from 2008 to 2010. Exports were approximately \$7,500 million in 2008, fell to about \$5,800 million in 2009, and recovered to about \$8,500 million in 2010.

Year	Value of oil exports (US\$ millions)
2008	7,500
2009	5,800
2010	8,500

Gross official foreign assets and external debt (percent of GDP): This panel shows gross official foreign assets (blue area, right axis) and external debt (black line, left axis) as a percent of GDP from 2008 to 2010. Gross official foreign assets were approximately 35% in 2008, rose to about 40% in 2009, and reached about 45% in 2010. External debt was approximately 60% in 2008, fell to about 55% in 2009, and reached about 45% in 2010.

Year	Gross official foreign assets (right scale) (%)	External debt (left scale) (%)
2008	35	60
2009	40	55
2010	45	45

5. The authorities observed all continuous, end-December 2010 and end-March 2011 performance criteria (Text Table 1).

- The target on the basic non-oil primary deficit (BNOPD) was met. The higher (but still negative) net domestic financing of government relative to the indicative target is explained mostly by lower-than-envisioned oil revenues and higher accumulation of deposits abroad, which are now being repatriated. The fifth review was delayed pending clarification of financing flows, including foreign deposits.

	End-Jun. 2010		End-Dec. 2010		End-March 2011	
	Prog.	Est	Prog.	Est.	Prog.	Prel.
Performance Criteria						
Basic Non-oil primary fiscal balance (floor)	-363	-350	-663	-658	-189	-188
New medium or long-term nonconcessional external debt (including leasing) contracted or guaranteed by the government (ceiling) ^{1, 2, 3, 4}	0	0	0	0	0	0
Memorandum items						
Oil revenue	1,060	910	1,949	1,758	595	544
Non-oil primary revenue	211	227	465	463	137	137
Net domestic financing of the government (ceiling, indicative target)	-618	-188	-668	-289	-383	-101

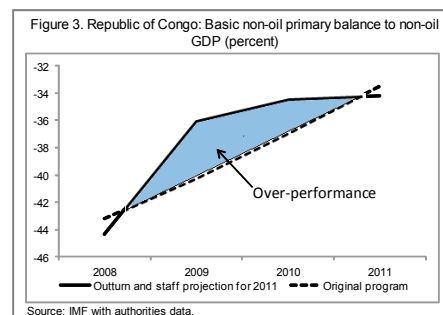
¹ Excluding rescheduling arrangements and disbursements from the IMF; the minimum grant element is set to 35 percent.

² Continuous.

³ The zero ceiling on nonconcessional external debt does not apply to forthcoming external loans from the European Investment Bank and the Central African States Development Bank, as specified in paragraph 11 of the Technical Memorandum of Understanding.

⁴ The zero ceiling also applies to new (i) external debt with an original maturity of less than one year, (ii) oil-collateralized external debt contracted by or on behalf of the central government, (iii) nonconcessional external debt with a maturity of more than 1 year contracted or guaranteed by SNPC, (iv) external arrears on nonreschedulable debt, and (v) to new domestic arrears.

- Over the first two years of the program, the cumulative adjustment of the basic non-oil primary deficit (BNOPD) was broadly in line with the envisioned adjustment over the course of the whole three year ECF supported arrangement (Figure 3).

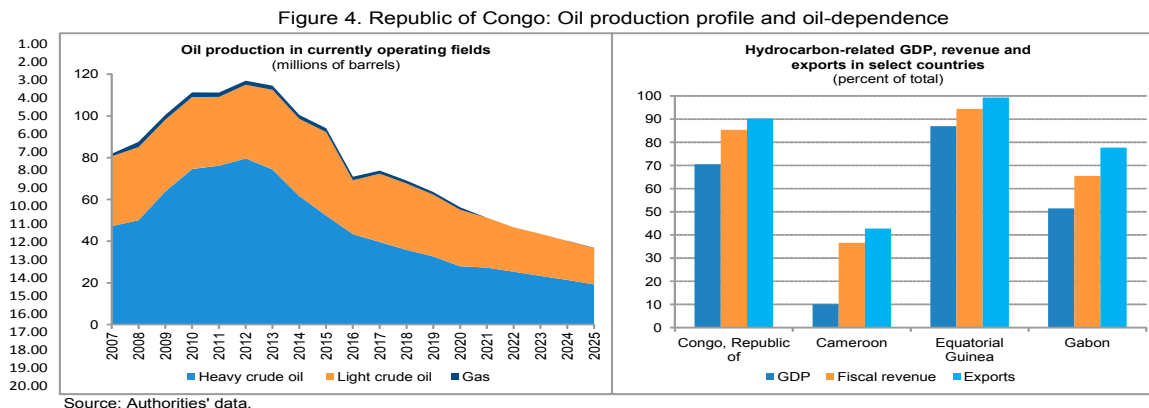


6. **The authorities observed the two structural benchmarks aimed at improving oil governance, but encountered early difficulties with the new procurement code, observing this benchmark with delay.**

- Oil governance:* The authorities have posted the oil certification reports for September and December 2010 on the ministry of economy, finance and budget website, and repatriated the proceeds of oil shipments to the Treasury within 45 days of shipment. Moreover, in December 2010 the EITI Board concluded that Congo had made “meaningful progress” in implementing EITI.¹
- Procurement:* The structural benchmark requires that 80 percent of all contracts over \$500,000 be subject to competitive bidding. Significant progress was made and the authorities brought various contracts in well below the expected cost. However, as can be expected, the transition was not without challenges, as line ministries have only recently begun to overcome significant teething problems and capacity constraints in implementing the new procedures and previously signed and ongoing contracts have to be brought under the new code. With 2011 annual procurement plans in place, by end-May the authorities had achieved a rate of about 90 percent.

7. **The macroeconomic outlook is favorable, with the increasing stock of basic infrastructure likely to accelerate poverty-reducing non-oil growth.** Oil production in currently operational fields is expected to peak in 2012, but new fields could come on stream starting in 2015, following ongoing negotiations to change the oil taxation regime (Figure 4). Non-oil growth will gain momentum as efforts to boost the business climate bear fruit and completion of public investment projects eases transport and supply bottlenecks. Strong oil prices and prudent policies will further strengthen the external position as external liabilities decline and gross official foreign assets rise to above 100 percent of GDP in 2013. A debt sustainability analysis (DSA, Informational Annex) indicates Congo is at low risk of debt distress and debt dynamics are robust to all standard shocks, but as is the case for the economy as a whole are highly sensitive to volatile international oil prices. Projected large asset accumulation over the longer term eliminates any external borrowing requirement.

¹Extractive Industries Transparency Initiative. Congo’s second Validation Report covers 2007, 2008 and 2009.



8. **With a final test date of end-March 2011, program risks are limited, but looking ahead spending pressures may mount as oil prices climb.** Clamors for further scaling up social spending and outlays on fuel subsidies may intensify, but so far, the impact of rising global food and fuel prices is being mitigated by good harvests, improved transportation and some administered prices.

III. POLICY DISCUSSIONS

The need for sustained consolidation and the already-large increase in investment spending slated for 2011 call for saving the bulk of the oil windfall. At the same time, macroeconomic stability and structural reforms to date have laid the foundation for taking policy making to the next level. The dialogue focused on the authorities' efforts to strengthen tax policy and fiscal institutions. Efforts aimed at improving the business climate were also discussed.

A. Fiscal policy—Sustained consolidation while making the most of investment

9. **Fiscal policy in 2011 focuses on narrowing the infrastructure gap, while continuing to save a sizable share of oil revenue.** To this end, the authorities' BNOPD projection of CFAF750 billion at end-December 2011 (-34.4 percent of non-oil GDP) allows for a 30 percent increase in domestically financed public investment. At current oil price projections, the government will save about 60 percent of total oil revenue (22 percent of GDP). Given the need for fiscal consolidation and the already-large increase in public investment, the authorities plan to save the bulk of any future oil windfall.

10. **In order to create space for higher capital spending on basic infrastructure including roads and utilities, the authorities are taking the measures contained in the 2011 budget to increase non-oil revenue and restrain current expenditure.**

- **Revenue:** Measures are in train to (a) broaden the tax base (single window for tax payments of forestry and telecoms royalties to the treasury; taxation of transactions related to public contracts); (b) reduce exemptions; and (c) improve tax administration, with particular emphasis on customs appraisal and control. Preliminary data through April indicate that the authorities are on track to exceed the budgeted 2 percentage point of non-oil GDP increase in tax revenue collection, with upside potential if further

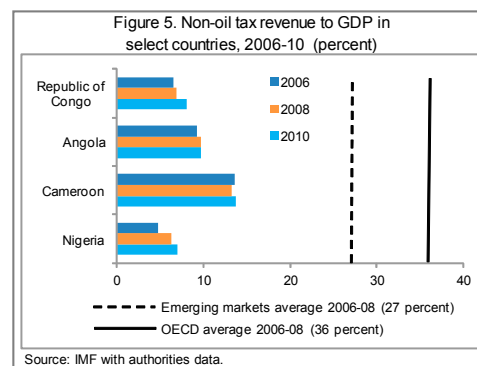
measures are adopted. However, customs revenue will fall short if negotiations with the oil sector fail to accord the minimum 5 percent customs duty envisioned in the budget.

- *Current expenditure:* Measures aim to bring transfers and spending on materials and supplies down from the high levels experienced in 2010 due to one-off events, and curtail non-essential official travel. The authorities do not intend to raise domestic fuel prices, but have retooled the refinery to increase efficiency and raise domestic supply.² Staff welcomed the expenditure restraint and efforts to boost efficiency at the refinery, but advised that the implicit subsidy resulting from not adjusting domestic prices should be transparently presented in the fiscal accounts.

11. **In order to safeguard investment quality, the authorities are building on progress to date in public financial management (PFM).** Guided by their December 2010 self assessment, they have developed and are beginning to implement a second-generation action plan covering 2011–13 (PAAGIP II) to strengthen investment efficiency. With the procurement code firmly in place, reforms focus on two areas: (a) improving upstream project selection and prioritization and (b) strengthening project implementation. More broadly, the authorities have made progress in strengthening the first three stages of the expenditure chain (i.e., commitment, liquidation, payment order). Staff welcomed the progress to date and the action plan, but noted that a key bottleneck to improvement is the severe weaknesses in the area of treasury operations and control. Staff also encouraged the authorities to revisit the projects slated to begin over the remainder of the current year given the setbacks that were incurred in preparation of the 2011 budget.

B. Reforming the tax system and strengthening fiscal institutions

12. **The authorities' noted that the tax system is not reaching its potential**, even when compared to other countries in the sub-region. This is consistent with the findings of a 2009 FAD technical assistance (TA) mission, which identified deficiencies in fiscal institutions within a tax system which is unnecessarily complex.³ Tax evasion and avoidance are endemic—often aided by reduced rates for certain sectors (i.e., forestry, agricultural inputs)—while VAT and excise exemptions for the oil industry significantly reduce revenue potential.



² Domestic fuel prices were last adjusted in September 2008, when oil prices were above \$100 per barrel. At current oil price projections, the authorities estimate an implicit subsidy (refinery losses) of 0.6 percent of GDP.

³ Characteristics include: high marginal tax rates on capital and labor; a narrow tax base; ubiquitous exemptions often granted at the ministry level; and a distortionary investment system compared with regional peers. Low non-oil revenue collection has mostly resulted from exemptions and tax avoidance.

13. **In June 2010 the authorities launched a fiscal reform aimed at improving the design of the tax system and strengthening fiscal institutions, while raising revenue collection.** The reform program for 2011–13 is based on the initial report of the Steering Committee and draws heavily on IMF TA recommendations, including those of a February 2011 FAD follow up mission (Box 1). The authorities have (a) conducted a survey of unauthorized fees charged by line ministries (*parafiscalité*), (b) unified the tax rate and simplified the tax regime for businesses with turnover less than CFAF 40 million (about \$80,000), (c) implemented a unique taxpayer identification system, (d) are in the process of producing a tax expenditure document which will be submitted to parliament along with the 2012 draft budget law, and (e) have eliminated all exemptions not governed by international conventions, the general tax code and the investment code, although the latter is not always respected. The ministry of finance (MOF) is in the process of being reorganized by tax payer units, and computer systems linking all budget operations should be operational by end-2011. Ad hoc measures are also being taken to strengthen capacity, reduce tax evasion, improve taxpayer education and ease the cost of compliance.⁴

14. **There was broad agreement that bolder reforms were needed, but these require increased political consensus.** While recognizing the tradeoffs between improving tax competitiveness and increasing revenue collection, the authorities noted that vested interests and key sectors are resisting more sweeping reforms. They have struggled to achieve compliance of line ministries with the prohibition on ad hoc exemptions and fees, and face an uphill battle in garnering political support for eliminating remaining exemptions, including for the important oil sector, and the reduced VAT on the forestry sector. In order to create a space for dialogue and address the impasse, they have created six subcommittees comprised of both the public and private sectors.⁵ Staff encouraged the authorities to strengthen the MOF as an institution, including by amending the organic budget law to make the MOF the only institution charged with putting forward tax policy measures in the context of the draft budget law; to produce and submit to parliament an annual tax expenditure document; and to improve oil revenue projections through increasing transparency regarding the financial position of the national oil company. Staff also encouraged the authorities to use their position as chair of the CEMAC Council of Ministers to push for improvements in the regional excise and tariff system.

⁴ Measures include: increase tax payer education activities; distribute personal income tax forms directly to employees; implement the newly drafted procedural manual for inspectors on how to conduct an audit; and distribute and enforce the new manual identifying the responsibilities of public sector employees. The hours of operation of the tax department have also been increased, and bonuses are being paid to collection officers.

⁵ Subcommittees cover the topics of: streamlining and harmonization of tax rates (direct taxes); VAT and indirect taxation; property and land taxation; *parafiscalité*; oil sector taxation; and Special Economic Zones.

Box 1. Fiscal reform—Recommendations and actions planned for 2011

A February 2011 technical assistance mission from the Fiscal Affairs Department (FAD) of the IMF conducted a follow up mission on tax policy. The wide-ranging recommendations are best carried out in the context of a comprehensive three year plan. However, previously identified measures require no further study and can be implemented now.

FAD TA recommendations for 2011 requiring no further study

Tax Policy

- *Reduce distortions and opportunities for tax avoidance:* unify the minimum tax rate for all sectors; eliminate the reduced VAT rate on forestry products; and eliminate VAT exemptions on inputs to final products (e.g. agriculture products);
- *Simplify the customs clearance procedure to reduce the number of payments by importers;*
- *Streamline tax incentives and eliminate remaining exemptions,* which are mostly related to public enterprises, real estate properties, forestry, alcohol and tobacco prior to implementing further tax rate cuts; and
- *Eliminate fees or parafiscalité wherever it acts as an additional tax,* rather than a price for a service.

Fiscal Institution Building

- *Prepare and present to parliament an annual tax expenditure document* to increase transparency regarding the cost of the current tax system; provide a basis for analysis and discussion of tax proposals and tax reform measures; and enhance the legitimacy of the ministry of finance (MOF);
- *Include in the 2012 budget law a provision to make the MOF the only entity charged with putting forward fiscal policy measures to parliament* as a first step to eventually amending the organic budget law. Proposals of other agencies would pass through a filter at the MOF, who would bear ultimate responsibility, and all proposals would transparently be put forth in the budget document; and
- *Increase the leadership role (versus oversight) of the steering committee on fiscal reform.*

Authorities' planned actions for 2011

- *Broaden the tax base* by extending excises taxes to domestic sales of alcohol and tobacco products (sin taxes) and luxury goods (proposal—in the context of the CEMAC common external tariff);
- *Submit to CEMAC a proposal to zero rate capital imports* under the common external tariff in order to encourage investment, while taxing companies on their profits;
- *Simplify taxation of the informal sector* through a single flat turnover tax; and
- *Work to define the minimum tax* that all businesses should pay to ensure that all companies make some contribution to the government (effective only in 2012).

C. Stepping up efforts to improve the business climate

15. **In February 2011 the Council of Ministers adopted a comprehensive action plan to improve the business climate.** The ultimate aim of the plan is to foster economic diversification and employment creation which will help raise the population out of poverty. The authorities noted that with the support of development partners, six topical working groups have been formed to study and implement measures aimed at achieving the plan's ten objectives, which range from improving the fiscal and legal environment to supporting SMEs, improving access to credit and developing industrial zones. They noted that a framework is now in place for public-private dialogue, and with the help of the European Union progress has already been made in the area of trade and commerce, where a one-stop shop for business registration has been set up; consumer protection and competition laws have been drafted; arbitration manuals have been drawn up; and training is taking place throughout the country for judges and lawyers on OHADA law. Work is also gearing up to establish an SME promotion body, and they are currently considering various modalities to improve access to financing.⁶ All of these reforms will complement ongoing efforts to close the infrastructure gap over the medium term—a first section of the road from the port city to the capital will be completed this year; two sizable electricity generation plants came on stream in 2010, with work on distribution underway; and a new potable water facility is scheduled for completion in 2012.

16. **Staff welcomed these initiatives and encouraged the authorities to push forward with them in the context of the broader reform agenda,** given the important synergies that exist between the planned actions and ongoing work to improve basic infrastructure and reform customs. Various commission reports are currently under consideration by government. In this context, there was broad agreement that increased coordination and alignment of views among the multiple ministries, donors and consultants would be necessary to keep the reform agenda moving ahead. At the same time, staff encouraged the authorities to exercise caution in considering use of a guarantee fund for lending to SMEs given the potentially large fiscal costs associated with such a scheme.

IV. OTHER ISSUES

17. **The authorities noted that they will adopt the functional classification of pro-poor spending once the Poverty Reduction Committee has validated the methodology.**⁷ This is expected in the coming months. Staff welcomed the improved monitoring that this

⁶ Recently, credit to SMEs has been supported by a loan from the Arab Bank for Development of Africa. The authorities are also considering other modalities, including establishing a guarantee fund.

⁷ The functional classification under consideration was developed in collaboration with AFRITAC and yields higher estimates of pro-poor spending than the authorities' current classification.

could entail, but stressed that it was even more important to ensure that budgeted social funds are not only made available when requested but also used effectively. Strengthening treasury operations and expenditure monitoring of ministries in charge of social spending is vital to improving public service provision. The authorities should work with the development partners to strengthen capacity.

18. **The authorities stressed their commitment to work toward resolving outstanding debt issues.** Agreements have been signed with the vast majority creditors. Discussions with the outstanding non-Paris Club bilateral creditor will resume at the next Joint Commission meeting scheduled for 2012, and remaining bilateral institutions would need to respond to the Congolese offer. Regarding commercial creditors, cases with two litigating creditors are ongoing in the courts, while discussions to obtain comparable treatment with one creditor continue.

V. STAFF APPRAISAL

19. The near-term outlook is favorable. Strong policies and improving external conditions will support macroeconomic stability, while fiscal consolidation in excess of original program targets and progress on key structural reforms have built resilience to shocks.

20. Sustained efforts to strengthen policies and the scaling up of investment in basic infrastructure bode well for a take-off in non-oil growth and durable poverty reduction. Given the already-large increase in investment and the need for fiscal consolidation over the medium term, the bulk of the oil windfall should be saved. Ensuring that pro-poor spending reaches its intended target groups may help quell clamors for higher spending—the main risk going forward.

21. Structural reforms have moved forward, particularly in the areas of PFM and oil wealth management. Especially notable in this regard is the implementation of the new procurement code which requires competitive bidding. The observance with delay of the structural benchmark containing an eighty percent threshold for larger projects reflects transitional challenges faced by line ministries and the need to bring ongoing projects under the code. That said, much remains to be done to address the severe weaknesses in treasury operations and control, and efforts to strengthen project selection and implementation should continue.

22. In the period ahead, increasing focus should be placed on strengthening policy making and building institutions, while continuing to work toward improving transparency and governance of oil wealth. Reforms underway in the fiscal area will help reduce the complexity of the tax system, improve efficiency and reduce tax avoidance and evasion. The ministry of finance should be strengthened, including by making it the sole institution responsible for putting forth tax policy measures in the context of the draft budget law. This should be complemented by annual production and submission of a tax expenditure document which presents the cost of current and proposed policies, which will help garner

the needed support for deeper tax measures encountering resistance from vested interests. At the same time, increasing transparency regarding the financial position of the national oil company through an annual published audit would go a long way toward better understanding the consistent underperformance of fiscal oil revenues relative to projections.

23. The welcome initiatives to improve the business climate should continue in the context of the broader reform agenda to increase basic infrastructure and improve customs. Increased coordination and alignment among the multiple ministries, donors and consultants will be necessary to keep the reform agenda moving ahead.

24. Reaching the completion point has significantly reduced Congo's debt burden. Best efforts to conclude bilateral agreements as soon as possible and good faith efforts to obtain comparable treatment from all remaining commercial creditors should continue. New debt should only be considered if extended on highly concessional terms.

25. Staff recommends completion of the fifth and sixth reviews under the ECF arrangement and disbursement of the sixth and seventh loans, in an amount equivalent to SDR 1,208,570 and SDR 1,208,580, respectively. Staff also supports the authorities' request to rephrase the seventh disbursement to end-July to better align it with completion of the sixth and final review.

Proposed Decision

The following decision, which may be adopted by a majority of the votes cast, is proposed for adoption by the Executive Board.

1. The Republic of Congo has consulted with the Fund in accordance with paragraph 4(c)(iii) and 5(d) of the three-year arrangement for the Republic of Congo under the Extended Credit Facility (ECF) (EBS/08/125, 11/21/08) (the “Arrangement”) to review program implementation and financing assurances.
2. The letter of the Minister of Finance, Budget and Public Portfolio of the Republic of Congo dated July 14, 2011 (the “July 2011 Letter”), together with its attached Technical Memorandum of Understanding (the “July 2011 TMU”) shall be attached to the Arrangement, and the letters of the Minister of Economy, Finance and Budget, dated November 19, 2008, and its attachments, as supplemented and modified, shall be read as further supplemented and modified by the July 2011 Letter together with its attachment.
4. In paragraph 2(vii), the words “end-September 2011” shall be replaced with “July 30, 2011”.
5. The Fund decides that the fifth and sixth reviews contemplated in paragraph 4(c)(iii) and the financing assurance review specified in paragraph 5(d) of the Arrangement are

completed, and the Republic of Congo may request the sixth disbursement referred to in paragraph 2(vi) and the seventh disbursement specified in 2 (vii) of the Arrangement.

Table 1. Republic of Congo: Selected Economic and Financial Indicators, 2008–13

	2008	2009	2010		2011	2012	2013
		Prel.	Prog. ¹	Prel.	Proj.	Proj.	Proj.
(Annual percentage change)							
Production and prices							
GDP at constant prices	5.6	7.5	9.1	8.8	5.3	6.6	6.4
Oil	6.1	16.2	14.7	13.8	1.0	4.0	-2.2
Non-oil	5.4	3.9	6.5	6.5	7.4	7.8	10.2
GDP at current prices	32.0	-14.7	27.4	31.3	21.0	6.2	4.0
GDP deflator	25.0	-20.6	16.7	20.7	14.9	-0.4	-2.2
Consumer prices (period average)	6.0	4.3	5.3	5.0	5.9	5.2	3.5
Consumer prices (end of period)	11.4	2.5	5.8	5.4	5.0	4.2	3.1
External sector							
Exports, f.o.b. (CFA francs)	27.1	-20.5	53.2	61.8	25.6	1.4	0.2
Imports, f.o.b. (CFA francs)	25.6	-11.2	36.1	50.9	33.1	-1.9	4.2
Export volume	7.2	13.6	14.1	12.7	4.8	1.8	-1.4
Import volume	24.5	-13.8	16.5	36.3	27.4	0.0	3.1
Terms of trade (deterioration -)	17.6	-33.0	17.5	32.9	15.3	1.5	0.6
(Percent of GDP)							
Investment and saving							
Gross national saving	19.3	14.3	24.9	25.2	31.5	34.4	33.4
Gross investment	18.3	22.5	22.3	20.5	22.9	23.4	23.3
Current account balance ²	1.0	-8.2	2.7	4.6	8.6	11.0	10.0
External public debt (end of period) ³	59.3	50.2	12.5	21.2	19.9	20.5	19.5
(Percent of non-oil GDP)							
Central government finances							
Revenue and grants	160.4	78.3	127.6	116.8	150.2	139.8	124.6
Oil revenue	136.0	54.8	101.9	92.0	120.5	105.4	87.5
Nonoil revenue and grants	20.8	21.9	24.3	24.2	27.0	27.5	28.1
Total expenditure	80.7	65.5	62.9	66.9	76.5	72.1	65.3
Current	50.4	36.8	33.7	35.6	31.5	29.8	28.4
Capital (and net lending)	30.3	28.7	29.2	31.3	45.0	42.3	36.9
Overall balance (deficit -, commitment basis) ⁴	79.8	12.7	64.8	49.9	73.7	67.7	59.3
Basic primary fiscal balance (deficit -) ⁵	91.5	18.8	67.2	57.6	86.1	71.3	54.2
of which Basic non-oil primary balance (- = deficit)	-44.3	-36.0	-34.7	-34.4	-34.4	-34.2	-33.3
(Percent of total government revenue excluding grants)							
External public debt service (after debt relief) ^{3, 6}	8.3	9.0	2.8	3.4	1.9	2.1	2.2
External public debt (after debt relief) ⁵	127.9	172.2	29.6	56.6	44.1	45.7	43.9
(Billions of CFA francs, unless otherwise indicated)							
Gross official foreign reserves	1,825	1,740	2,494	2,200	4,329	6,134	7,945
Nominal GDP	5,311	4,530	5,761	5,947	7,196	7,639	7,942
Nominal non-oil GDP	1,557	1,705	1,914	1,911	2,181	2,488	2,881
World oil price (U.S. dollars per barrel)	97	62	76	79	106	105	102
Oil production (Millions of barrels)	87	101	115	115	116	120	118
Nominal Exchange rate (CFA/USD, period average)	446	471	502	494		...	...

Sources: Congolese authorities; and Fund staff estimates and projections.

¹ Country Report No. 11/67.

² Including public transfers.

³ The increase in 2010 relative to the program reflects final accounts after HIPC debt relief.

⁴ Including grants.

⁵ Primary revenue (excluding interest income and grants) minus non-interest current expenditure minus domestically financed capital expenditure and net lending.

⁶ HIPC completion point reached in January 2010. In March 2010, the Paris Club granted 100 percent debt relief.

Table 2. Republic of Congo, Medium Term Balance of Payments, 2008–13

	2008	2009	2010		2011	2012	2013
		Est.	Prog. ¹	Prel.	Proj.	Proj.	Proj.
(Billions of CFA francs)							
Current account	53	-371	155	275	620	840	798
Trade balance	2,448	1,825	3,055	3,078	3,733	3,860	3,776
Exports, f.o.b.	3,749	2,980	4,633	4,821	6,053	6,137	6,148
Oil sector	3,386	2,657	4,110	4,282	5,356	5,377	5,287
Non-oil sector	363	323	523	539	697	759	862
Imports, f.o.b.	-1,301	-1,155	-1,578	-1,743	-2,320	-2,276	-2,372
Oil sector	-307	-383	-405	-513	-586	-591	-591
Government	-293	-259	-470	-511	-784	-675	-682
Non-oil private sector	-701	-513	-704	-718	-949	-1,010	-1,098
Balance of services	-1,014	-943	-1,089	-1,293	-1,281	-1,291	-1,326
Oil sector	-739	-737	-784	-978	-911	-918	-920
Nonoil sector	-275	-206	-305	-315	-370	-373	-406
Income	-1,385	-1,234	-1,784	-1,477	-1,829	-1,745	-1,667
Labor income	-46	-36	-58	-60	-76	-76	-75
Investment income	-1,339	-1,198	-1,726	-1,417	-1,753	-1,669	-1,592
Current transfers (net)	5	-19	-28	-33	-3	16	14
Capital account	35	15	1,288	1,318	35	57	60
Debt forgiveness ²	0	0	1,278	1,313	0	0	0
Official grants	35	15	10	4	35	57	60
Other	0	0	0	0	0	0	0
Financial account	1,031	161	-695	-1,240	1,507	909	956
Direct investment (net)	1,131	879	1,093	1,094	1,383	1,402	1,435
Of which: oil sector	1,009	834	951	991	1,261	1,259	1,264
Portfolio investment	-1	0	0	0	0	0	0
Other investment	-99	-719	-1,788	-2,334	125	-493	-479
Medium and long term	-161	-79	-1,290	-1,277	173	145	-22
Public sector	-82	-80	-1,301	-1,284	205	143	-9
Drawings	47	6	36	80	256	202	54
Project	46	6	36	80	256	202	54
Program	1	0	0	0	0	0	0
Amortization ²	-129	-86	-1,337	-1,363	-52	-59	-63
Private sector	-79	1	11	7	-31	3	-13
Oil	-76	8	9	10	30	35	35
Non-oil	-3	-7	2	-3	-61	-32	-48
Short term	61	-640	-498	-1,058	-49	-639	-457
Errors and omissions	0	-2	0	0	0	0	0
Overall balance of payments	1,120	-196	748	353	2,162	1,806	1,813
Financing	-1,120	196	-748	-353	-2,162	-1,806	-1,813
Reserve financing	-850	132	-760	-406	-2,128	-1,806	-1,813
IMF (net) ³	1	2	-6	-6	2	-1	-2
Purchases / Disbursements	1	2	2	2	2	0	0
Repurchases / Repayments	0	0	0	0	0	-1	-2
Other reserves	-850	132	-753	-406	-2,128	-1,806	-1,813
Exceptional financing ⁴	-270	64	12	53	-34	0	0
Net change in arrears	-801	-15	-402	-64	-34	0	0
Debt cancellation	207	58	18	91	0	0	0
Debt rescheduling	325	21	396	26	0	0	0
Financing gap (- = surplus)	0	0	0	0	0	0	0

Sources: BEAC; and Fund staff estimates and projections.

¹Country Report No. 11/67.

²Includes stock debt relief of the HIPC completion point.

³Includes assumed disbursements under the new PRGF.

⁴Includes flow debt relief from Paris Club and London Club, and payments to litigating creditors.

Table 3a. Republic of Congo: Central Government Operations, 2008–13

	2008	2009	2010		2011	2012	2013
			Prog. ¹	Prel.	Proj.	Proj.	Proj.
(Billions of CFA francs)							
Revenue and grants	2,497	1,335	2,443	2,231	3,274	3,480	3,589
Primary Revenue	2,442	1,307	2,414	2,222	3,203	3,296	3,314
Oil revenue	2,118	934	1,949	1,758	2,627	2,624	2,521
Non-oil revenue	324	373	465	463	576	672	794
Investment income	20	13	18	6	36	127	215
Grants	35	15	10	4	35	57	60
Expenditure and net lending	1,256	1,118	1,203	1,278	1,668	1,795	1,881
<i>of which primary expenditure</i>	1,024	1,023	1,145	1,136	1,366	1,523	1,753
Current expenditure	785	627	644	680	687	742	817
Wages	166	175	180	180	225	255	293
Other current expenditure	446	355	409	399	411	432	466
Local authorities	23	24	43	43	40	42	44
Interest	150	73	12	59	11	13	14
Domestic	10	9	0	1	0	0	0
External	140	64	12	57	11	13	14
Capital expenditure	471	490	559	598	981	1,053	1,064
Domestically financed	390	469	513	515	690	794	950
<i>o.w. HIPC financed</i>	7	37	17	14	40	0	0
Externally financed	81	21	46	84	291	259	114
Net lending	0	1	0	0	0	0	0
Basic primary balance ²	1,424	320	1,286	1,101	1,877	1,773	1,561
<i>Of which: Basic non-oil primary balance</i>	-690	-614	-663	-658	-750	-851	-959
Balance, commitment basis							
Excluding grants	1,206	202	1,229	949	1,571	1,628	1,648
Including grants	1,242	216	1,239	953	1,606	1,685	1,708
<i>Of which: Non-oil balance</i>	-876	-718	-738	-805	-1,021	-939	-812
Change in arrears	-944	-124	-371	-225	-38	-44	-33
External	-801	0	-222	-64	0	0	0
Domestic	-143	-124	-149	-161	-38	-44	-33
Balance, cash basis	298	92	868	728	1,568	1,641	1,675
Financing	-298	-92	-868	-728	-1,568	-1,641	-1,675
Foreign (net)	408	-34	-14	-366	647	151	-2
Drawings	47	6	36	80	256	202	54
Amortization due	-170	-106	-68	-64	-43	-51	-56
Rescheduling obtained	325	21	0	26	0	0	0
Debt cancellation	207	52	18	56	0	0	0
Exceptional assistance (including debt relief) ³	0	-2	0	0	0	0	0
Other	0	0	-200	-464	434	0	0
Domestic (net)	-706	-59	-655	-362	-2,214	-1,792	-1,673
Banking system (net)	-599	122	-668	-289	-2,253	-1,792	-1,673
Nonbank financing	-107	-181	13	-73	38	0	0
<i>Of which, statistical float</i>	-82	-107	0	-18	0	0	0
Financing gap (- = surplus)	0	0	0	0	0	0	0
Memorandum items:							
GDP at current market prices	5,311	4,530	5,761	5,947	7,196	7,639	7,942
Non-oil GDP at market prices	1,557	1,705	1,914	1,911	2,181	2,488	2,881
Pro poor spending	342	401	465	465	567	682	792

Sources: Congolese authorities; and Fund staff estimates and projections.

¹Country Report No. 11/67.

²Primary revenue (excluding interest income and grants) minus noninterest current expenditure minus domestically finance capital expenditure (excluding HIPC-financed capital expenditure) and net lending.

³HIPC completion point reached in January 2010. In March 2010, the Paris Club granted 100 percent debt relief.

Table 3b. Republic of Congo: Central Government Operations, 2008–13

	2008	2009	2010		2011	2012	2013
			Prog. ¹	Prel.	Proj.	Proj.	Proj.
	(Percent of non-oil GDP)						
Revenue and grants	160.4	78.3	127.6	116.8	150.2	139.8	124.6
Primary Revenue	156.8	76.7	126.2	116.2	146.9	132.5	115.0
Oil revenue	136.0	54.8	101.9	92.0	120.5	105.4	87.5
Non-oil revenue	20.8	21.9	24.3	24.2	26.4	27.0	27.5
Investment income	1.3	0.8	0.9	0.3	1.7	5.1	7.5
Grants	2.3	0.9	0.5	0.2	1.6	2.3	2.1
Expenditure and net lending	80.7	65.6	62.9	66.9	76.5	72.1	65.3
<i>of which primary expenditure</i>	65.8	60.0	59.8	59.4	62.6	61.2	60.8
Current expenditure	50.4	36.8	33.7	35.6	31.5	29.8	28.4
Wages	10.7	10.3	9.4	9.4	10.3	10.3	10.2
Other current expenditure	28.6	20.8	21.4	20.9	18.8	17.4	16.2
Local authorities	1.5	1.4	2.2	2.2	1.8	1.7	1.5
Interest	9.6	4.3	0.6	3.1	0.5	0.5	0.5
Domestic	0.6	0.6	0.0	0.1	0.0	0.0	0.0
External	9.0	3.7	0.6	3.0	0.5	0.5	0.5
Capital expenditure	30.3	28.7	29.2	31.3	45.0	42.3	36.9
Domestically financed	25.0	27.5	26.8	26.9	31.6	31.9	33.0
<i>o.w. HIPC financed</i>	0.4	2.2	0.9	0.8	1.8	0.0	0.0
Externally financed	5.2	1.2	2.4	4.4	13.4	10.4	4.0
Net lending	0.0	0.1	0.0	0.0	0.0	0.0	0.0
Basic primary balance ²	91.5	18.8	67.2	57.6	86.1	71.3	54.2
<i>Of which: Basic non-oil primary balance</i>	-44.3	-36.0	-34.7	-34.4	-34.4	-34.2	-33.3
Balance, commitment basis							
Excluding grants	77.5	11.8	64.2	49.7	72.0	65.4	57.2
Including grants	79.8	12.7	64.8	49.9	73.7	67.7	59.3
<i>Of which: Non-oil balance</i>	-56.3	-42.1	-38.6	-42.1	-46.8	-37.7	-28.2
Change in arrears	-60.6	-7.3	-19.4	-11.8	-1.8	-1.8	-1.2
External	-51.5	0.0	-11.6	-3.4	0.0	0.0	0.0
Domestic	-9.2	-7.3	-7.8	-8.4	-1.8	-1.8	-1.2
Balance, cash basis	19.1	5.4	45.4	38.1	71.9	66.0	58.1
Financing	-19.1	-5.4	-45.4	-38.1	-71.9	-66.0	-58.1
Foreign (net)	26.2	-2.0	-0.7	-19.1	29.7	6.1	-0.1
Drawings	3.0	0.4	1.9	4.2	11.8	8.1	1.9
Amortization due	-10.9	-6.2	-3.6	-3.3	-2.0	-2.0	-1.9
Rescheduling obtained	20.9	1.2	0.0	1.4	0.0	0.0	0.0
Debt cancellation	13.3	3.0	0.9	2.9	0.0	0.0	0.0
Exceptional assistance (including debt relief) ³	0.0	-0.1	0.0	0.0	0.0	0.0	0.0
Other	0.0	0.0	-10.5	-24.3	19.9	0.0	0.0
Domestic (net)	-45.4	-3.4	-34.2	-18.9	-101.6	-72.0	-58.1
Banking system (net)	-38.5	7.2	-34.9	-15.1	-103.3	-72.0	-58.1
Nonbank financing	-6.9	-10.6	0.7	-3.8	1.7	0.0	0.0
Financing gap (- = surplus)	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum items:	(Percent of GDP, unless otherwise indicated)						
Revenue and grants	47.0	29.5	42.4	37.5	45.5	45.6	45.2
Oil revenue	46.7	20.6	33.8	29.6	36.5	34.3	31.7
Non oil revenue	6.1	8.2	8.1	7.8	8.0	8.8	10.0
Current expenditure	11.2	13.9	11.2	11.4	9.5	9.7	10.3
Capital expenditure	8.9	10.8	9.7	10.1	13.6	13.8	13.4
Basic primary fiscal balance	26.8	7.1	22.3	18.5	26.1	23.2	19.7
<i>Of which: Basic non oil primary fiscal balance</i>	-13.0	-13.6	-11.5	-11.1	-10.4	-11.1	-12.1
Balance, cash basis	5.6	2.0	15.1	12.2	21.8	21.5	21.1
Pro poor spending (percent of non-oil GDP)	21.9	23.5	24.3	24.3	26.0	27.4	27.5

Sources: Congolese authorities; and Fund staff estimates and projections.

¹ Country Report No. 11/67.

² Primary revenue (excluding interest income and grants) minus noninterest current expenditure minus domestically financed capital expenditure (excluding HIPC-financed capital expenditure) and net lending.

³ HIPC completion point reached in January 2010. In March 2010, the Paris Club granted 100 percent debt relief.

Table 4. Republic of Congo: Monetary Survey, 2008–11

	2008	2009	2010		2011
			Prog. ¹	Prel.	Proj.
Monetary survey	(Billions of CFA francs)				
Net foreign assets	1,877	1,723	2,584	2,325	4,646
Central bank	1,788	1,656	2,415	2,062	4,190
Deposit money banks	89	176	169	263	456
Net domestic assets	-908	-705	-1,441	-911	-3,032
Net domestic credit	-893	-619	-1,355	-971	-3,092
Net credit to the public sector	-1,083	-962	-1,628	-1,314	-3,498
Net credit to the Government	-1,079	-956	-1,624	-1,243	-3,496
Central bank	-1,072	-956	-1,623	-1,305	-3,489
Credit to the economy	167	218	274	325	384
Other items, net	-15	-86	-86	60	60
Broad money	970	1,019	1,143	1,415	1,614
Currency outside banks	344	342	384	408	466
Demand deposits	499	539	605	843	962
Time deposits	126	137	154	163	186
(Changes in percent of beginning-of-period broad money)					
Net foreign assets	109.0	-15.9	73.9	59.1	164.1
Net domestic assets	-72.6	21.0	-61.7	-20.2	-150.0
Net domestic credit	-72.2	28.3	-61.7	-34.6	-150.0
Net credit to the government	-84.3	12.6	-65.6	-28.2	-159.2
Credit to the private sector	10.7	5.2	3.8	10.5	4.2
(Annual percent changes, unless otherwise indicated)					
Broad money	36.4	5.0	12.2	38.9	14.1
Reserve money	43.3	-9.6	12.2	69.9	6.9
Velocity (non-oil GDP/End of period M2)					
Non-oil GDP/Average M2	2.1	2.5	2.7	2.2	2.7
Non-oil GDP/End period M2	1.6	1.7	2.5	1.4	1.4
(Percent)					
Total GDP growth	32.0	-14.7	27.4	31.3	21.0
Non-oil GDP growth	11.9	9.5	12.2	12.1	14.1
Credit to the private sector/Non-oil GDP	10.7	12.8	14.3	17.0	17.6

Sources: BEAC; and Fund staff estimates and projections.

¹Country Report No. 11/67.

Table 5. Republic of Congo: Quantitative targets, 2010–11
(Billions of CFA francs; cumulative from January; unless otherwise indicated)

	End-Jun. 2010		End-Dec. 2010		End-March 2011	
	Perf. Criteria	Est	Perf. Criteria	Est.	Perf. Criteria	Prel.
Quantitative targets						
Basic Non-oil primary fiscal balance (floor)	-363	-350	-663	-658	-189	-188
New medium or long-term nonconcessional external debt (including leasing) contracted or guaranteed by the government (ceiling) ^{1, 2, 3}	0	0	0	0	0	0
New external debt (including leasing) with an original maturity of less than one year (ceiling) ²	0	0	0	0	0	0
New oil-collateralized external debt contracted by or on behalf of the central government (ceiling) ²	0	0	0	0	0	0
New nonconcessional external debt with a maturity of more than 1 year contracted or guaranteed by SNPC (ceiling) ²	0	0	0	0	0	0
New external arrears on nonreschedulable debt (ceiling) ²	0	0	0	0	0	0
New domestic arrears ²	0	0	0	0	0	0
Memorandum items						
Oil revenue	1,060	910	1,949	1,758	595	544
Non-oil primary revenue	211	227	465	463	137	137
Net domestic financing of the government (ceiling, indicative target)	-618	-188	-668	-289	-383	-101

¹ Excluding rescheduling arrangements and disbursements from the IMF; the minimum grant element is set to 35 percent.

² Continuous.

³ The zero ceiling on nonconcessional external debt does not apply to forthcoming external loans from the European Investment Bank and the Central African States Development Bank, as specified in paragraph 11 of the Technical Memorandum of Understanding.

Table 6. Republic of Congo: Structural Benchmarks under the ECF Arrangement, 2010–11

Measures	Status End- Dec 2010	Status End-March 2011	Timing
Public financial management and domestic revenue mobilization Justification: Strengthen investment quality			
Support implementation of the new procurement code by ensuring that 80 percent of public contracts having a total value of over CFAF 250 million are open to competitive bidding.	Observed, with delay	Observed, with delay	Continuous
Governance and natural resource management Justification: Continue strengthening of oil sector governance			
Have an internationally reputable audit firm certify oil revenue quarterly, using the same specifications as for the 2003 certification and with no restrictions on access to the information; and publish the certification reports on the website of the ministry of economy, finance and budget (www.mefb-cg.org). Also, the government will post on the website not only the audit but for each report, a note addressing comments by the auditors.	Observed, with delay	Observed, with delay	Continuous, with a one- quarter lag
Repatriate to the Treasury the proceeds of oil shipments commercialized by private companies and SNPC on behalf of the government within 45 days after the actual shipment date, based on actual quantities, prices, and shipment dates.	Observed	Observed	Continuous

**Table 7. Republic of Congo: Access and Phasing Under
 the 3-Year ECF Arrangement (2008–11)¹**

Timing	Disbursement		Conditions
	Amount in SDRs	Percent of quota	
12/22/2008	1,208,570	1.43	Approval of the arrangement
6/24/2009	1,208,570	1.43	Review completed (July 2009)
12/4/2009	1,208,570	1.43	Review completed (November 2009)
8/30/2010	1,208,570	1.43	Review completed (August 2010)
1/11/2011	1,208,570	1.43	Review completed (January 2011)
6/30/2011	1,208,570	1.43	Completion of the fifth review (end-December 2010 test date)
7/30/2011	1,208,580	1.43	Completion of the sixth (final) review (end-March 2011 test date) ²
Total	8,460,000	10.00	

¹The Republic of Congo's quota is SDR 84.6 million.

² Given that the fifth and sixth reviews have been combined, the authorities have requested a rephasing in order to better align the disbursement with the Board date.

APPENDIX 1—SUPPLEMENTAL LETTER OF INTENT

Brazzaville, July 14, 2011

The Minister of Finance, Budget
and Public Portfolio

To:

Ms. Christine Lagarde
Managing Director
International Monetary Fund
Washington, DC 20431
United States of America

Dear Managing Director:

Since reaching the HIPC Completion Point in January 2010, the Fund's Executive Board completed the third and fourth reviews of Congo's Extended Credit Facility (ECF) arrangement in August 2010 and January 2011, respectively. The Congolese government continues to implement a medium-term economic and financial program aimed at generating balanced growth, low and stable inflation, and fiscal and external sustainability. It is also determined to maintain the momentum of economic reform in order to accelerate growth and durably reduce poverty. In this regard, we believe the program objectives elaborated in our Memorandum of Economic and Financial Policies (MEFP) of December 2010 remain relevant and achievable.

The implementation of our Fund-supported program continues to be satisfactory and we observed all the continuous and quantitative performance criteria for end-December 2010 and end-March 2011. Notably, despite encountering current spending pressures in mid-2010, we were able to achieve the end-December program target. We attribute this strong performance to prudent budget management and the emerging benefits of public financial management and tax and customs administration reforms, as well as some tax policy changes. In 2011 we have stepped up tax reform, and are on track to surpass our ambitious tax collection target of 2 additional percentage points of non-oil GDP. In terms of financing, the higher net domestic financing of government is mostly explained by lower oil revenues and higher foreign deposits.

Performance in the structural area has also been satisfactory. Over the period under review we observed the two structural benchmarks aimed at strengthening oil governance, and despite falling short of meeting the structural benchmark percentage on procurement, mainly due to previously signed contracts and their regularization, we are pleased with our progress on implementing the new procurement code. After facing significant teething problems early

on at the ministerial level, procurement procedures are now solidly in place and transparency has been increased through the posting of our annual procurement report online. I can now report that all ministries have approved procurement plans in place for 2011 and as of end-May 90 percent of contracts above \$500,000 have been subject to competitive bidding.

Building on our progress to date, we are committed to sustaining consolidation efforts through the end of the program and beyond, opening fiscal space for important development spending through lasting gains in non-oil revenue collection and restraint over non-essential current expenditure. As envisaged earlier, we project a basic primary non-oil deficit of CFAF 750 billion at end-December 2011 (34.4 percent of non-oil GDP). This includes a 30 percent increase in domestically financed capital expenditure aimed at addressing development needs. As a result, the fiscal adjustment over the course of the three-year ECF arrangement would be equivalent to a reduction of about 10 percent of non-oil GDP, as envisioned at the time of approval of the arrangement. Looking ahead, with infrastructure investment well underway, the 2012 budget will place increasing focus on improving social service provision in the areas of health and education, and on improving the quality of life of the Congolese people, including by bringing electricity and water to the main urban centers.

HIPC debt relief has led to a significant improvement in the government's external position and we will continue to maintain a prudent external borrowing policy. This includes both borrowing on concessional terms and enhancing our debt management capacity in order to preserve external stability.

We will support these policy objectives through determined efforts to improve tax policy, safeguard investment efficiency and strengthen governance and transparency, especially in the areas of oil wealth management and fiscal operations. In this regard, in 2011 we will take further measures to reform the tax system and step up implementation of our action plan to improve public financial management, including measures to strengthen our monitoring and accounting of fiscal operations. Building on reforms put in place in the context of the HIPC process, we will continue to work toward EITI compliance.

The Congolese government highly values technical assistance, and has taken the lead in providing financial support to AFRITAC in order for it to continue to perform its important role of capacity building in the region. It is with the help of AFRITAC that we are making progress in using a functional classification to enhance the monitoring of poverty-related spending. The Poverty Reduction Committee is studying the proposal made by AFRITAC to ensure that the recommendations are in line with the poverty profile. Once this validation is completed, we will closely monitor such spending to gauge our progress in addressing social challenges.

As Chairman of the ministerial committee of the Central African Economic and Monetary Community (CEMAC) and the Board of Directors of the regional central bank (BEAC), we

will strive to comply with our obligations under CEMAC including repatriation by the end of the year, address the weaknesses in BEAC and strengthen regional integration.

With the final test date under the program successfully behind us, it is with great pride that we request the completion of the fifth and sixth reviews and the disbursement of the sixth and seventh loans under the ECF arrangement. We also request that the seventh disbursement be re-phased to end-July in order to better align it with completion of the sixth and final review and subsequent expiration of the program.

However, while the program is coming to a close it is our firm intention and desire to remain closely engaged with the Fund, benefitting from its advice and technical assistance to enhance policy making and durably reduce poverty. In the future we will continue to consult closely with Fund staff providing all necessary information required for effective economic surveillance. The government intends to make the contents of this letter and those of the attached Technical Memorandum of Understanding (Attachment 1), as well as the staff report accompanying its request for completion of the fifth and sixth reviews of the program, available to the public and authorizes the Fund to arrange for them to be posted on the Fund's website, subsequent to Executive Board approval of its request.

Sincerely yours,

/s/

Gilbert Ondongo
Minister of Finance, Budget, and Public Portfolio

Attachment

Table 1. Republic of Congo: Quantitative targets, 2010-11
(Billions of CFA francs; cumulative from January; unless otherwise indicated)

	End-Jun. 2010		End-Dec. 2010		End-March 2011	
	Perf. Criteria	Est	Perf. Criteria	Est.	Perf. Criteria	Prel.
Quantitative targets						
Basic Non-oil primary fiscal balance (floor)	-363	-350	-663	-658	-189	-188
New medium or long-term nonconcessional external debt (including leasing) contracted or guaranteed by the government (ceiling) ^{1, 2, 3}	0	0	0	0	0	0
New external debt (including leasing) with an original maturity of less than one year (ceiling) ²	0	0	0	0	0	0
New oil-collateralized external debt contracted by or on behalf of the central government (ceiling) ²	0	0	0	0	0	0
New nonconcessional external debt with a maturity of more than 1 year contracted or guaranteed by SNPC (ceiling) ²	0	0	0	0	0	0
New external arrears on nonreschedulable debt (ceiling) ²	0	0	0	0	0	0
New domestic arrears ²	0	0	0	0	0	0
Memorandum items						
Oil revenue	1,060	910	1,949	1,758	595	544
Non-oil primary revenue	211	227	465	463	137	137
Net domestic financing of the government (ceiling, indicative target)	-618	-188	-668	-289	-383	-101

¹ Excluding rescheduling arrangements and disbursements from the IMF; the minimum grant element is set to 35 percent.

² Continuous.

³ The zero ceiling on nonconcessional external debt does not apply to forthcoming external loans from the European Investment Bank and the Central African States Development Bank, as specified in paragraph 11 of the Technical Memorandum of Understanding.

Table 2. Republic of Congo: Structural Benchmarks under the ECF Arrangement, 2010–11

Measures	Status End- Dec 2010	Status End-March 2011	Timing
Public financial management and domestic revenue mobilization Justification: Strengthen investment quality			
Support implementation of the new procurement code by ensuring that 80 percent of public contracts having a total value of over CFAF 250 million are open to competitive bidding.	Observed, with delay	Observed, with delay	Continuous
Governance and natural resource management Justification: Continue strengthening of oil sector governance			
Have an internationally reputable audit firm certify oil revenue quarterly, using the same specifications as for the 2003 certification and with no restrictions on access to the information; and publish the certification reports on the website of the ministry of economy, finance and budget (www.mefb-cg.org). Also, the government will post on the website not only the audit but for each report, a note addressing comments by the auditors.	Observed, with delay	Observed, with delay	Continuous, with a one- quarter lag
Repatriate to the Treasury the proceeds of oil shipments commercialized by private companies and SNPC on behalf of the government within 45 days after the actual shipment date, based on actual quantities, prices, and shipment dates.	Observed	Observed	Continuous

APPENDIX I—ATTACHMENT I

Technical Memorandum of Understanding

Brazzaville, July 14, 2011

1. This technical memorandum of understanding (TMU) describes the definitions that are intended to clarify the measurement of the quantitative performance criteria and indicators in Table 1 of the Supplemental Letter of Intent (July 14, 2011) and the Memorandum of Economic and Financial Policies (MEFP, dated December 20, 2010) covering 2010–11. All quantitative performance criteria and indicators for 2011 will be evaluated in terms of cumulative flows from December 31, 2010. Also, the TMU specifies the periodicity and deadlines for transmission of data to the staff of the IMF for program monitoring purposes.

I. DEFINITIONS AND COMPUTATION

A. Government

2. Unless otherwise indicated, **government** is defined as the central government of the Republic of Congo and does not include local governments, the central bank, and any public entity with autonomous legal personality (i.e., wholly- or partially-owned state enterprises) not currently covered by the government's consolidated financial operations table (tableau des opérations financières de l'Etat—TOFE).

B. Basic Primary Fiscal Balance

3. The scope of the government's **financial operations table** (TOFE) includes the general budget and the special accounts of the Treasury (including the forestry and road funds) and the government debt management agency (Caisse Congolaise d'Amortissement, CCA).

4. The government's **non-oil basic primary fiscal balance** is defined as total non-oil revenue excluding grants and investment income (on the government's accounts in the central and commercial banks), minus total expenditure (including net lending), which is to exclude transfers to Hydro Congo, interest payments on debt, externally-financed capital expenditure, and capital expenditure financed by debt services savings under the enhanced Heavily Indebted Poor Countries (HIPC) Initiative. It is calculated from the budget execution outturn reported every month in the TOFE prepared by the ministry in charge of finance.

5. The government's **total revenue** is reported in the TOFE on a cash basis. It includes all revenue collected by the Treasury (from tax and customs receipts, oil, services and forestry), whether they result from past, current, or future obligations. Receipts also include those recorded on a gross basis, in special accounts.
6. **Oil revenue** is defined as the government's net proceeds from the sale of oil, including the provision for diversified investments, royalties paid by oil companies, and the government's share of excess and profit oil. It excludes all forms of prepayment and pre-financing. The oil revenue projections take account of the 45 day lag between the date of shipment and the date of receipt of the sale proceeds by the Treasury.
7. **Expenditures** are recorded on a payment order basis. They include current expenditure, domestically-financed capital expenditure, foreign-financed capital expenditure, and net lending. Current expenditures include expenditures on wages, goods and services, common charges, interests on debt (domestic and external), transfers and subsidies, and other current expenditures. Subsidies to the state-owned oil refinery, CORAF, are estimated on the basis of the enterprises income statement.
8. Pro-poor spending is defined in the budget on the basis of the functional classification.

C. Net domestic financing of the central government

9. Net domestic financing (NDF) of the central government is defined as the change in the government's net position (claims minus deposits at the BEAC and commercial banks) in the banking system, which is elaborated in the table of Position Nette du Gouvernement table (PNG). NDF also includes the change in the stock of Treasury bills and bonds issued by the Congolese Treasury in CFA francs on the CEMAC regional market, when those securities are established but exclude the change in the outstanding of IMF credits at the BEAC (recours au dredits due FMI) . At end-December 2010, NDF was assessed at -1,269.29 billion CFAF. For each test date, any adjustment by the BEAC to the data reported by individual commercial banks, on account of their misclassification of government or for other reasons, will be reported to the Fund.

D. Foreign Debt and External Arrears

10. The definition of **government** used for the various external debt indicators includes government, as defined in paragraph 2, public institutions of an administrative nature (*Etablissements Publics Administratifs*), public institutions of a scientific and/or technical nature, public institutions of a professional nature, public institutions of an industrial and/or commercial nature (*Entreprises Publiques d'Intérêt Commercial*), and local governments, with the sole exception of the national oil company (SNPC)—see paragraph 14 below. It is defined on the basis of residency of the creditor.

11. For the purposes of this memorandum, **debt and concessional loans** are defined as follows:

- As specified in the guidelines adopted by the Executive Board of the IMF,¹ debt will be understood to mean a current, i.e., not contingent, liability, created under a contractual arrangement through the provision of value in the form of assets (including currency) or services, and which requires the obligor to make one or more payments in the form of assets (including currency) or services, at some future point(s) in time; these payments will discharge the principal and/or interest liabilities incurred under the contract. Debts can take a number of forms, the primary ones being as follows: (i) loans, i.e., advances of money to the obligor by the lender made on the basis of an undertaking that the obligor will repay the funds in the future (including deposits, bonds, debentures, commercial loans and buyers' credits) and temporary exchanges of assets that are equivalent to fully collateralized loans under which the obligor is required to repay the funds, and usually pay interest, by repurchasing the collateral from the buyer in the future (such as repurchase agreements and official swap arrangements); (ii) suppliers' credits, i.e., contracts where the supplier permits the obligor to defer payments until some time after the date on which the goods are delivered or services are provided; and (iii) leases, i.e., arrangements under which property is provided which the lessee has the right to use for one or more specified period(s) of time that are usually shorter than the total expected service life of the property, while the lessor retains the title to the property. The debt is the present value (at the inception of the lease) of all lease payments expected to be made during the period of the agreement, excluding those payments that cover the operation, repair, or maintenance of the property. Under the definition of debt set out above, arrears, penalties, and judicially awarded damages arising from the failure to make payment under a contractual obligation that constitutes debt are debt. Failure to make payment on an obligation that is not considered debt under this definition (e.g., payment on delivery) will not give rise to debt.
- Loan concessionality is assessed on the basis of the commercial interest reference rates (CIRRs) established by the OECD. A loan is said to be on concessional terms if, on the date of conclusion of the contract, the ratio of the net present value of the loan, calculated on the basis of the reference interest rates, to its nominal value is less than 35 percent (i.e., a grant element of at least 35 percent).² For debts with a maturity exceeding 15 years, the ten-year reference interest rate

¹ See Executive Board Decision No. 6230-(79/140) as amended by Decisions Nos. 11096-(95/100), 12274-(00/85) and 14416-(09/91), August 31, 2009, effective December 1, 2009.

² See "[Staff Guidance Note on Debt Limits in Fund-Supported Programs](#)" SM/09/294, December 18, 2009.

published by the OECD is used to calculate the grant element. For shorter maturities, the six-month market reference rate is used.

The concessionality requirement applies not only to the central government, but also covers debt incurred by public enterprises. The sole exception to this concessionality requirement is the projected external loans to the Port Authority of Pointe Noire to support its rehabilitation from the European Investment Bank in an amount up to euro 29 million, and from the Central African States Development Bank in an amount up to euro 9.1 million.

12. The quantitative indicative target with respect to **external debt** apply not only to debt as defined in the above-mentioned guidelines, but also to commitments incurred or guaranteed for which no value has yet been received or on which only partial drawings have been made. However, this does not apply to financing from the IMF or to Treasury bills and bonds issued by the Congolese Treasury in CFA francs on the CEMAC regional market.

13. For **external debt with an initial maturity of less than one year** (a continuous quantitative performance criterion), normal short-term import and export credit are excluded from the scope of the indicator, including the prepayments.

14. The ceiling on any **new nonconcessional external debt with a maturity of more than one year contracted or guaranteed by the SNPC**, with or without government guarantee, will be observed continuously. The SNPC may borrow only to finance investments related to its core activities (research, exploration, production, refining and distribution of oil, construction of a Brazzaville headquarters, creation and strengthening of its database, etc.). In addition, these investments must be included in the SNPC's investment budget approved by its board of directors. The ceiling on debt does not apply to changes in loan accounts with oilfield partners or to loans with maturities of less than one year.

The accumulation by the government of **external payment arrears** is the difference between (i) the gross amount of external debt service payments due (principal and interest, including penalty and/or late interest, as appropriate) and (ii) the amount actually paid during the period under consideration. Under the program, the government commits itself to not accumulate external payment arrears on non-reschedulable debt (that is, debt to Paris Club creditors contracted after the cutoff date and debt to multilateral creditors). Non-accumulation of external payment arrears is an indicator to be continuously observed.

E. Oil-Collateralized External Debt and Oil Prepayments

15. Oil-collateralized external debt is external debt which is contracted by giving an interest in oil. Pre-financing is defined as an oil-collateralized loan which is repaid by the sale of the oil in a different calendar year. New pre-financing by or on behalf of the

government is strictly prohibited under the program. The refinancing and/or deferral of the existing stock and/or due dates are permitted but should not give rise to an augmentation of the existing stock of oil-collateralized debt.

16. A prepayment is defined as an advance payment by the purchaser of oil on a specific oil shipment. Prepayment-related operations must be repaid within 6 months, but in any case within the calendar year in which they were contracted.

F. Payment Arrears and Domestic Debt

17. Domestic payment arrears of the government are equivalent to the difference over the period under review between the amount of payments authorized and the actual payments made (within 90 days).

II. INFORMATION FOR PROGRAM MONITORING

18. The government will submit the following information to the staff of the IMF through its Resident Representative, and within the time period specified below.

A. Oil Sector

19. Regarding the oil sector, the government will submit the following information to IMF staff within four weeks after the end of the month:

- the monthly data on oil production by oil field, production costs, volume exported, export prices, and the operations of the national oil company (SNPC);
- the breakdown concerning the share of crude oil that accrues to the government, by oil field, distinguishing the type of resource to which this share relates (royalties, profit oil, etc.);
- any change in the tax parameters;
- a breakdown of oil prices;
- a monthly detailed list of shipments commercialized by SNPC on behalf of the government, including information on the type of product, the date of loading, the recipient, the number of barrels and the selling price (in US dollars and CFAF) as well as the date of receipt of the sale proceeds by the Treasury; and
- actual and projected quarterly data to determine the required subsidies in the fuel sector, including prices, quantities, and costs.

B. Government Finance

20. Regarding government finance, the government will submit the following information to IMF staff:

- A table on government fiscal operations (TOFE) and its annexes. The annexed tables include (i) the breakdown of oil revenue in value terms with the corresponding notes on computation, (ii) excess oil trends and any bonus payments, (iii) the breakdown of tax and non-tax revenue, and central government expenditure, particularly transfers and common charges; and (iv) a report on the amounts of and rationales for emergency payment and cash advance procedures. The provisional TOFE and its annexes will be reported monthly within four weeks from the end of the month, whereas the final TOFE and its annexes will be reported within six weeks from the end of each month.
- Monthly data on the prices and taxation of petroleum products. These data will include: (i) the price structure in effect during the month; (ii) the details of computation of the price structure, (f.o.b. Mediterranean price) at retail prices, including the border impact prices, taxes, transit costs, economic adjustments, ex-refinery prices (for CORAF and imports), entry distribution prices, margins and fees, transport costs and losses, financing expenses, and insurance; (iii) amounts released for sale; and (iv) a breakdown of the tax revenue from oil products—customs duties and value-added tax—and direct/indirect subsidies incurred by the budget. These data will be reported within four weeks from the end of the month.
- The Treasury balance to monitor expenditures. It will include the amount of commitments, payment orders, and payments, for both current and capital expenditure. It will be produced on a quarterly basis, and submitted to Fund staff no later than four weeks after the end of each quarter.
- Data on implementation of the public investment program, including the breakdown relating to financing sources. If the data on the execution of investments financed with foreign grants and loans are not available on schedule, a linear estimate of execution in comparison with annual forecasts will be used. These data will be reported on a quarterly basis within four weeks from the end of the quarter.
- Complete monthly data on domestic financing of the budget (net bank credit to, and net non-bank credit to the government). These data will be reported monthly within four weeks from the end of the month.
- The table used to monitor the expenditure process will list the amount of commitments, payment orders, and payments, for both operating and capital

expenditures. It will be produced on a quarterly basis, and submitted to Fund staff no later than four weeks after the end of the quarter.

- A quarterly table for monitoring poverty reduction expenditures, based on the pro-poor sectors defined in the poverty reduction strategy paper—basic health care and education; infrastructure and rural integration; water and electricity; disarmament, demobilization and reintegration; social protection, and agriculture). The quarterly tables will be submitted within four weeks of the end of the quarter.
- A monthly table of prepayments, which will also indicate the nature of the expenditures (current transfers, investment, etc.) and the justification for the need to use the prepayment option.

C. Monetary Sector

21. The government will submit on a monthly basis, within four weeks of the end of the month, the following preliminary information:

- the consolidated balance sheet of the monetary institutions, the central bank survey, and the commercial banks survey;
- the integrated monetary survey;
- the table of lending and deposit rates; and
- the usual banking supervision indicators for banks and non-bank financial institutions, where necessary.

22. The final data for the integrated monetary survey will be transmitted within six weeks of the end of the month.

D. Balance of Payments

23. The government will submit the following information to IMF staff:

- any revised balance of payments data (including services, private transfers, official transfers, and transactions for the capital and financial account) as soon as the data are revised; and
- foreign trade statistics (volume and price) prepared by the national statistics agency within three months of the end of the reporting month.

E. Debt

24. The government will submit the following to the staff of the IMF within four weeks of the end of the month:

- data on the stock, accumulation, and payment of domestic arrears;
- data on the stock, accumulation, and payment of external payment arrears;
- a breakdown of estimated domestic and external public debt service, service due, and actual payments, including breakdowns of principal and interest and by creditor;
- the list and amounts of new external debt incurred or guaranteed by the government, including detailed information on the terms and conditions (currency, interest rate, grace period, and maturity) stated in the original agreement; and
- actual disbursements of foreign financial assistance (project and non-project), including new borrowing and any external debt relief granted by foreign creditors (CCA tables).

F. Real Sector

25. The government will submit the following to the staff of the IMF:

- monthly itemized consumer price indices, within four weeks of the end of the month;
- any revision of the national accounts; and
- any other indicators and statistical data used to track overall economic developments, including information on activity in the forestry sector and wood-processing industry, as well as the short-term economic bulletins prepared monthly.

G. Structural Reforms and Other Data

26. The government will submit the following information to the IMF staff:

- a monthly detailed table concerning the implementation of structural measures under the program;
- any study or official report on the economy of the Republic of Congo, within two weeks of its publication; and

- any decision, order, law, decree, ordinance, or circular having economic or financial implications for the program, within two weeks from the time it is published, or, at the latest, from its entry into force.